
(Example: National General Corp. in June 1971)			
1. Calculation of "True Market Price."			
Market value of 3 issues of warrants, June 30, 1971		\$94,000,000	
Value of warrants per share of common stock		\$18.80	
Price of common stock alone		24.50	
Corrected price of common, adjusted for warrants		43.30	
2. Calculation of P/E Ratio to Allow for Warrant Dilution			
	<i>Before Warrant Dilution</i>	<i>After Warrant Dilution Company's Calculation</i>	<i>Our Calculation</i>
(1970 earnings)			
A. Before Special Items.			
Earned per share	\$ 2.33	\$ 1.60	\$ 2.33
Price of common	24.50	24.50	43.30 (adj.)
P/E ratio	10.5×	15.3×	18.5×
B. After Special Items.			
Earned per share	\$.90	\$ 1.33	\$.90
Price of common	24.50	24.50	43.30 (adj.)
P/E ratio	27.2×	18.4×	48.1×

Note that, after special charges, the effect of the company's calculation is to increase the earnings per share and reduce the P/E ratio. This is manifestly absurd. By our suggested method the effect of the dilution is to increase the P/E ratio substantially, as it should be.

FAUST: Imagination in its highest flight Exerts itself but cannot grasp it quite.

MEPHISTOPHELES (the inventor): If one needs coin the brokers ready stand.

THE FOOL (finally): The magic paper...!

Practical Postscript

The crime of the warrants is in "having been born."* [_](#) Once born they function as other security forms, and offer chances of profit as well as of loss. Nearly all the newer warrants run for a limited time—generally between five and ten years. The older warrants were often perpetual, and they were likely to have fascinating price histories over the years.